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The Indian capital goods industry has entered into a new development phase since March 2002, due to investments in the power sector, infrastructure, oil & gas sector, steel plants and automobile industries. The capital goods industry contributes 12% of the total manufacturing activity, which is about 1.8% of the GDP. The industry currently employs over 1.5 million skilled and semi-skilled workers. Foreign Direct Investment (FDI) up to 100% permitted through the automatic route in this sector.

Industry Segments

The CG industry in India is broadly divided into 9 categories including Heavy Electrical Equipment, Engineering Goods, Process Plant Equipment, Earth Moving Equipment, Dies, Moulds and Tools, Textile Machinery, Machine Tools, Metallurgical Machinery and Plastic Processing Machinery. Among these sub-sectors, Heavy Electrical Equipment and Engineering Goods are the largest and fastest growing sub-sectors with a market size of over Rs 1,21,000 cr and 1,16,000 cr respectively and both constitute around a 40% share each of the total output of the sector.

Industry Performance

Economic slowdown and cheaper imports resulted in a 4% de-growth in FY12